

R R Kabel Ltd — Concall Tracker

Ticker RRKABEL · Wires & Cables + electrical consumer goods · 11 earnings calls read (Q2 FY24 → Q4 FY26)

Report date: 4 July 2026 · Source: company earnings-call transcripts (Screener.in) + snapshot financials

1. Snapshot

What the business does: R R Kabel makes and sells electrical **wires and cables** (the copper/aluminium wiring inside homes, buildings, factories, and power projects) — this is ~90% of sales. The rest is **FMEG** (Fast-Moving Electrical Goods: fans, lighting, switches, and small appliances, sold under the RR and RR Signature brands). It earns money by turning metal (mostly copper, some aluminium) plus plastic insulation into branded wire/cable sold to retailers, electricians, builders and industrial buyers in India, and by **exporting** its own-brand wire/cable to Europe, the Middle East and the USA (roughly a quarter of total sales).

₹9,722 cr

FY26 revenue (total yearly sales) — up ~28% on FY25's ₹7,618 cr

₹492 cr

FY26 net profit (final profit after all costs & tax) — up ~58% on FY25's ₹312 cr

₹789 cr

FY26 operating profit (profit from core operations before interest, tax, depreciation) — up ~62%

8%

FY26 operating margin (operating profit as a share of sales) — recovered from a weak 6% in FY25

28%

FY26 return on capital employed (profit earned per rupee of money invested in the business) — strong, up from 20%

~₹337 cr

Borrowings (money owed to lenders) — low vs profits; the business is lightly indebted

Growth track record: revenue has roughly quadrupled from ₹2,479 cr (FY20) to ₹9,722 cr (FY26). Promoters (the founding Kabra family) hold ~61.7% — a high stake, so their interests are aligned with outside shareholders. (Live market capitalisation is not in the snapshot data, so it is not quoted here.)

2. Concall coverage

Eleven consecutive quarterly earnings calls were read in full, oldest to newest — a continuous run of about **2¼ years** (the first call after the company's 2023 IPO through the latest March-2026 quarter). This is a strong, unbroken record for judging whether management does what it says.

Quarter	Call date	Read?	Quarter	Call date	Read?
Q2 FY24	8 Nov 2023	Yes	Q3 FY25	29 Jan 2025	Yes
Q3 FY24	30 Jan 2024	Yes	Q4 FY25	5 May 2025	Yes
Q4 FY24	29 May 2024	Yes	Q1 FY26	1 Aug 2025	Yes
Q1 FY25	31 Jul 2024	Yes	Q2 FY26	3 Nov 2025	Yes
Q2 FY25	25 Oct 2024	Yes	Q3 FY26	2 Feb 2026	Yes
			Q4 FY26	30 Apr 2026	Yes (latest)

★ Latest concall highlights — Q4 FY26 (call held 30 April 2026)

- **Record year.** FY26 revenue ₹9,722 cr (+27.6%), operating profit ₹789 cr (+61.8%), net profit ₹492 cr (+58%) — all all-time highs. Q4 alone: revenue ₹2,964 cr (+33.7%). In plain terms, sales grew fast and profit grew even faster, meaning each rupee of sales earned more.
- **Wires & Cables is the engine.** It was 90% of FY26 sales; its segment profit rose 56% to ₹776 cr. Cable (the thicker, higher-value product for buildings, factories, data centres, wind/solar) is growing in the high-teens versus low-single-digit for thin wire — the deliberate shift toward the richer product.
- **FMEG break-even slips again — now targeted for FY27** (it was earlier promised for the March-2026 quarter). Management blamed a weak fan season (bad weather) and a lag in passing higher input costs into prices. The fans/lights arm is still loss-making but the loss is shrinking.
- **Guidance reaffirmed.** The 3-year "Project RRIse" plan targets 18% yearly growth in Wires & Cables volume + 25% in FMEG, adding up to ~2.5x operating profit; Wires & Cables operating margin guided to 9.5% in FY27 on the way to 10.5% by FY28 (130 of the promised 300 basis-point improvement already banked). FY27 volume growth guided at 16–18%.

- **Near-term wrinkle:** the Middle East war stalled export shipments in March–April 2026 (goods stuck in transit; inventory jumped to ₹17.7 bn). The Middle East is ~40% of exports (~12% of total sales), so management flagged a likely one-quarter (Q1 FY27) export dent. Tone: confident on the core, candid about these two soft spots.

2c. Business mix & capacity (quick-glance)

Domestic vs export: Exports are ~26–30% of total revenue (domestic India ~70–74%) — so **roughly a quarter of sales are overseas, three-quarters within India**. Within exports, ~40% goes to the Middle East and a large share to Europe; the USA is small (~8–10% of exports, i.e. only ~2.5% of total sales), which kept US-tariff damage minor. A EU trade deal cutting the wire/cable tariff toward 0% is a structural export tailwind ahead.

Product mix: ~73% thin wire / ~27% cable, deliberately shifting toward more cable over time.

Capacity use: Cable plants run flat-out at **~90%+** (little spare room — the reason for the big capacity build) while wire plants run ~70% (~30% headroom to grow output before needing more). A ₹1,200 cr, 3-year expansion (FY26–FY28, ~80% into cable, lifting cable capability from 66 kV to 220 kV) is adding capacity in phases every ~6 months; most of that spend lands in FY27.

★ 3. Earning Trigger thesis

The headline driver is **profitable scaling of the core Wires & Cables business, tilted toward higher-value cable**. Management's "Project RRise" plan says: grow Wires & Cables volume ~18% a year and FMEG ~25% a year, while lifting the Wires & Cables operating margin from ~8.5% toward **10.5% by FY28** — together producing about **2.5x operating profit over three years**. It is funded by a **₹1,200 cr capacity expansion** (mostly cable, building up to 220 kV heavy-duty cable), aimed at fast-growing demand from data centres, wind/solar, infrastructure and exports. The evidence is already showing: FY26 operating profit rose ~62% and the margin recovered to its best-ever level, with 130 of the promised 300 basis points of margin improvement banked in year one.

Trigger	What management said	Evidence so far	Horizon	Strength
Cable-led scaling of core Wires & Cables	Cable to grow ~25%/yr; mix shift from ~30% toward ~40%; ₹1,200 cr capex (80% cable) to 220 kV	Cable growing high-teens vs low-single-digit wire; W&C segment profit +56% in FY26; capacity running >90%	3 yrs (FY28)	Strong
Margin expansion (operating leverage + mix + procurement)	W&C margin ~8.5% → 9.5% (FY27) → 10.5% (FY28); +300 bps over 3 yrs	Recovered from 5.1% low (Q2 FY25) to best-ever 8.8% (Q4 FY25); 130 bps of 300 already done; FY26 OPM 8%	3 yrs	Strong
Exports (own-brand wire/cable to EU/ME/US)	Exports to grow ~1.8x; higher-margin cable mix; EU tariff to 0%	~26–30% of sales; grew ~39% in Q4 FY26; but Middle East war is a near-term shipment risk	Ongoing	Moderate
FMEG turnaround (fans/lights to profit)	25%/yr growth; EBIT break-even (repeatedly re-dated); 5–6% margin by FY28	Losses shrinking (down ~33% in FY25, narrowing further) but still loss-making; break-even slipped FY25→FY26→FY27	FY27+	Weak / unproven

4. Management Consistency scorecard

Promised-vs-delivered across the 11 calls. Verdict key: **Delivered** **Partly** **Missed** **Too early** **Dropped**

Period & promise	What actually happened	Verdict
FY24 calls: Wires & Cables volume to grow ~20% a year.	FY25 volume growth was cut to 10–12% mid-year and actually came in only ~7% (copper-price swings, soft domestic wire). Reset to 18% under Project RRise; FY26 volume ~16% — closer, but the original 20% was not held.	Partly
FY24 calls: FMEG (fans/lights) to break even by FY25.	Break-even slipped repeatedly: FY25 → "early FY26" → "FY26 full year" → now FY27. Losses have genuinely shrunk each year, but the promised profit date keeps moving out by ~a year each time.	Missed
FY24–FY25: Wires & Cables margin to rise ~100–140 bps/yr toward 10.5–11%.	FY24 delivered +140 bps; guidance then cut to +60–80 bps for FY25 as copper volatility hit; margin fell to 5.1% (Q2 FY25) then recovered to best-ever 8.8% by Q4 FY25. FY26 banked ~130 bps of the new 300-bps plan. The direction held; the path was bumpy.	Partly
FY24 calls: ₹500 cr capex (self-funded) to double power-cable capacity by Mar-2025.	Delivered and completed on schedule from internal cash; rolled straight into the larger ₹1,200 cr FY26–28 program. Capex discipline and self-funding have been consistent.	Delivered
Q4 FY25 (Project RRise): 18% W&C + 25% FMEG CAGR → ~2.5x operating profit in 3 years; 10.5% margin by FY28.	One year in: FY26 operating profit +62%, revenue +28%, margin recovering, 130/300 bps banked. Tracking well so far, but the full 3-year 2.5x is still unproven.	Too early

Delivered

Ongoing: Exports as a durable own-brand growth engine.

Export share held ~26–30% and grew strongly (+39% in Q4 FY26); disrupted twice by outside shocks (Red Sea container shortage FY25, Middle East war FY26) but recovered each time. Consistent story, delivered with external volatility.

Narrative drift: The **core story has been remarkably steady** across all 11 calls — scale up Wires & Cables, shift toward higher-value cable, expand exports, keep margins climbing, and fund it from internal cash. The 2025 "Project RRise" branding formalised what management had already been saying. The **two genuine consistency blemishes** are (1) the FMEG break-even date, which has slipped roughly a year at a time and is now the single least-reliable promise, and (2) volume/margin guidance that was cut mid-FY25 when copper prices swung, before recovering. Tone tracks reality honestly: confident in strong quarters, candid and specific about weak ones (they explained the FMEG slip and the war impact rather than glossing over them). No sign of a story that changes every year to chase whatever is working.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete, still-live driver: profitable scaling of the core Wires & Cables business toward higher-value cable, backed by a real ₹1,200 cr capacity build and aimed at genuine demand (data centres, renewables, infrastructure, exports). It is already showing up in the numbers — FY26 operating profit +62%, margin at its best-ever level, return on capital at 28%, and 130 of 300 promised basis points of margin gain banked in year one. The trigger does not rely on the still-loss-making FMEG arm; that is upside, not the thesis. The main risk to the trigger is copper-price volatility and export shocks, both of which have bruised but not derailed it.

Management consistent? → MAYBE

The record is good but not clean. On the big things — the core growth story, self-funded capex delivered on time, exports, and a real margin recovery — management has been steady and largely delivered, and they talk about misses honestly. But two promises have slipped: the FMEG break-even date has been pushed out roughly a year on each of several calls (FY25 → FY26 → FY27), and the original ~20% volume / +100–140 bps margin guidance was cut mid-FY25 before recovering. That mixed pattern — reliable on the core, repeatedly optimistic on FMEG timing — is a MAYBE rather than a clean YES. Watch the FY27 FMEG break-even and the 2.5x-profit RRise target: hitting both would push this to YES.